



countries to India for product design and manufacturing.

The initial funding was put in by my co-founder, Arjun Malhotra, and I. We do some consulting work to generate revenues and look at the industry to contribute through CSR (corporate social responsibility) activities.

How can India implement the 'China plus one' strategy?

When the concept of 'China plus one' emerged, Vietnam seized the opportunity quickly, leaving India behind. Rapid decision-making and ease of doing business contributed to Vietnam's success, resulting in exports of \$120 billion compared to India's \$25 billion. The challenge is to learn from the past and capitalise on 'China plus two,' where products with higher value addition become the focus. India is shifting from being a mere assembler to scaling up manufacturing, especially in areas like mobiles, where substantial exports are now a reality. Now, the focus needs to shift from low-value scale to sustained value addition to counter threats from competitors offering more incentives, potentially causing companies to move away. The key to navigating this landscape is understanding China's shift to prioritise higher value addition while assigning manufacturing to countries like Vietnam.

How does the contribution of MSMEs and startups in creating a high-value addition industry compare to that of large manufacturing companies?

When India signed the WTO agreement in 1999, applicable in 2015, MSMEs were adversely affected due to a lack of protection and zero-duty imports. Both startups and SMEs, essentially interchangeable, contribute significantly to the country's design landscape and fos-

ter innovation. Unlike large corporations driven by quarterly results and stock market pressures, SMEs operate more flexibly, allowing for real innovation. Small companies can grow into large entities by securing substantial funds through IPOs and other public investment avenues, expanding manufacturing, and evolving into sizable companies.

How can government incentive schemes be made more SME-inclusive?

Current policies lack focus on designing, creating, and adding value within India, hindering support for SMEs and startups. The emphasis is skewed toward large-scale manufacturing and favours global companies, necessitating a shift to SME-friendly policies. Schemes like SPECS fail to understand SMEs' specific needs, with a significant difference in component revenue-to-investment ratio. Acknowledgement of this issue by the DPIIT Secretary is a positive step, and the awaited SPECS 2.0 is crucial for addressing SME concerns. A dedicated PLI for SMEs, promoting growth from ₹2 billion to ₹15 billion, can foster scale and inclusivity. Multiple SMEs producing both passive and active components are essential to strengthen the electronics industry. Long-term schemes, such as adopting a ten-year approach to develop the component industry beyond the typical three to five-year plans, are vital for sustained industry growth to make India a developed nation by 2047.

Is EPIC's role restricted to an advisor to the government, or is it acting as a mediator between SMEs, startups, and the state and central governments?

As an ecosystem player, we collaborate with the central government, state governments, research and education institutes, startups,

and SMEs. We address challenges faced by SMEs in marketing by connecting them with established brands. Similarly, when startups or SMEs lack design expertise, we facilitate partnerships with education institutes possessing the required capabilities. This is an ongoing commitment, not a short-term endeavour, ensuring sustained support for the growth and development of these entities.

The electronics industry encompasses different verticals. Do you believe that the current policies account for all these verticals?

In all sectors—electronics, telecom, and automobiles—components are crucial, with electric vehicles being 70% electronics, highlighting industry interconnectivity. Advising Niti Aayog, my focus was on identifying standard sub-assemblies and components across these sectors. Electronics should be viewed horizontally, given its influence across industries. Magazines like Electronics For You showcase this horizontal nature. Deeper exploration into service and component areas is crucial for enhanced value addition. Positive developments in the PLI for telecom, emphasising value addition and design, are steps in the right direction. Similar considerations should apply to hardware PLI, encouraging localisation and purchasing components in India for increased appeal. The current PLI framework requires re-evaluation for more effective implementation.

How do we encourage more investments in equipment and infrastructure building to decrease the cost of production for SMEs and startups?

The VC ecosystem for hardware is non-existent, as most VCs prioritise e-commerce, software, and SaaS investments. With the evolving